

Indian Railway Finance Corporation Ltd (IRFC)

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Company Overview

Incorporated in 1986, Indian Railway Finance Corporation borrows funds from the financial markets to finance the acquisition / creation of assets which are then leased out to the Indian Railways as finance lease

Key Financial Ratios Table

Year	NPM %	ROE %	D/E	Interest Coverage	Asset Turnover	FCF (Cr)
2024	24.1%	13.0%	8.38	1.3	0.05	7906.0
2023	26.0%	13.8%	9.38	1.4	0.05	-28588.0
2022	30.0%	14.9%	9.47	1.4	0.05	-64417.0
2021	28.0%	12.3%	9.00	1.4	0.04	-89907.0
2020	23.8%	10.5%	7.74	1.3	0.05	-62700.0
2019	20.3%	9.0%	6.95	1.4	0.05	-41747.0
2018	22.2%	14.8%	9.62	1.4	0.06	-28074.0
2017	10.3%	7.8%	8.86	1.3	0.07	-19453.0
2016	11.3%	7.4%	7.59	1.4	0.07	-16376.0
2015	10.9%	8.7%	8.21	1.4	0.08	nan

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Qualitative Investment Insights

Strengths (Pros):

- Revenue growing at above 15% CAGR over 5 years (19.1%) reflects strong business momentum
- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Net profit compounding at above 20% over 5 years creates significant shareholder value

Risks & Concerns (Cons):

- Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility